

IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST
REPUBLIC OF SRI LANKA

In the matter of an application for
Mandates in the nature of Writs of
Certiorari and Mandamus under
and in terms of Article 140 of the
Constitution of the Democratic
Socialist Republic of Sri Lanka.

Court of Appeal Application No. CA/WRT/0692/24

**LANWA SANSTHA CEMENT
CORPORATION(PRIVATE)
LIMITED,**

Oruwala,

Athurugiriya.

PETITIONER

Vs.

**1. CENTRAL ENVIRONMENTAL,
AUTHORITY,**

No. 104, Denzil Kobbekaduwa
Mawatha,
Battaramulla.

**2. P. B. HEMANTHA
JAYASINGHE,**

Director - General,
Central Environmental
Authority,
No. 104, Denzil Kobbekaduwa
Mawatha,
Battaramulla.

3. **BOARD OF INVESTMENT OF
SRI LANKA,**

Level 24, West Tower,
World Trade Centre,
Colombo 01.

4. **RENUKA WEERA KOON,**

Director-General,
Board of Investment of Sri
Lanka,
Level 24, West Tower,
World Trade Centre,
Colombo 01.

5. **HAMBANTOTA
INTERNATIONAL PORT
GROUP (PVT) LTD,**

Hambantota Maritime Center,
Mirijjawila.

6. **SIAM CITY CEMENT LANKA
LIMITED,**

Level 25, Access Tower II,
No. 278/4, Union Place,
Colombo 02.

7. **SECRETARY,**

Ministry of Environment,
Sobadam Piyasa,
No. 416/C/1, Robert
Gunawardana Mawatha,
Battaramulla.

RESPONDENTS

BEFORE : **Mohammed Laffar, J.**

P. Kumararatnam, J.

COUNSEL : **Harsha Amarasekera, P.C, with Suren Gnanaraj and Sakuni Weeraratne instructed by M/S Neelakandan and Neelakandan for the Petitioner.**

Nayomi Kahawita, S.S.C, for the 1st-4th and 7th Respondents.

Avindra Rodrigo, P.C, with Kasuni Jayaweera instructed by F.J. & G de Saram for the 5th Respondent.

Dr.Kanag-Iswaran, P.C, with Uditha Egalahewa, P.C, Laksman Jayakumar, Miyuru Egalahewa and Shenal Fernando instructed by Kanchan Senanayake for the 6th Respondent.

INQUIRY ON : **04/12/2024.**

DECIDED ON : **20/12/2024.**

ORDER**P. Kumararatnam, J.**

The Petitioner instituted this Writ Application praying for the following relief in the Petition dated 28.10.2024.

- a) Issue notices on the Respondents;
- b) Call for the record from the 1st to 4th Respondents in relation to the operations of the 5th and 6th Respondents in the Hambantota International Port;
- c) Issue an order in the nature of a **Writ of Mandamus** directing the 1st to 4th Respondents to take all steps as are available in law to compel the 5th Respondent to ensure that the 6th Respondent does not unload, store and transport dust-emitting dry bulk cargo such as clinker in or at or out of the Hambantota International Port without the 5th Respondent and/or 6th Respondent having a valid and operative Environmental Protection Licence;
- d) Issue an order in the nature of a **Writ of Mandamus** directing the 1st to 4th Respondents to refrain from lifting the suspension currently in force and/or not to issue an Environmental Protection Licence to the 5th Respondent for port operations until corrective measures have been implemented to prevent the unloading, storing and transportation of dust emitting dry bulk cargo such as clinker in or at or out of the Hambantota International Port except through a ship unloader and closed conveyor belt, similar to that used by the Petitioner;
- e) Issue an order in the nature of a **Writ of Mandamus** compelling the 1st to 4th Respondents to ensure that the 5th Respondent strictly complies with the provisions of the National Environmental Act, its

Regulations and the directives including **P12, P13, P16, P17** and any other directives issued from time to time by the 1st and 3rd Respondents;

- f) Issue an order in the nature of a **Writ of Mandamus** directing the 1st to 4th Respondents to prosecute the 5th Respondent under the National Environmental Act for permitting the 6th Respondent to unload, store and transport hazardous and dust-emitting dry bulk cargo such as clinker in or at or out of the Hambantota International Port without a valid and operative Environmental Protection Licence and in violation of the directives including **P12, P13, P16, P17** and any other directives issued from time to time by the 1st and 3rd Respondents;
- g) Issue an order in the nature of a **Writ of Mandamus** directing the 1st to 4th Respondents to prosecute the 6th Respondent under the National Environmental Act for causing environmental pollution and contravening the law;
- h) Issue an order in the nature of **Writ of Mandamus** directing the 1st to 4th Respondents to exercise their powers under the National Environmental Act to prevent, suspend and prohibit any person from unloading, storing and transporting hazardous or dust-emitting cargo for cement manufacturing using trucks, in or at or out of the Hambantota International Port except in accordance with the law and due approvals obtained from the 1st and 3rd Respondents;
- i) Issue an order in the nature of a **Writ of Mandamus** compelling the 1st to 4th Respondents to ensure that no environmentally hazardous and or dust-emitting materials including clinker are uploaded into and transported using trucks in or at or out of the Hambantota International Port;
- j) Issue an order in the nature of a **Writ of Mandamus** directing the 1st to 4th Respondents to prevent the 5th Respondent and/or 6th Respondent from stockpiling clinker and other hazardous dust-emitting material in the Hambantota International Port in

contravention of the law and without any environmental approvals and environmental safety precautions being implemented;

- k) Issue an order in the nature of a **Writ of Mandamus** directing the 1st to 4th Respondent to prevent the 5th and/or 6th Respondent from operating the warehouse at Lot No A17 of the Port Industrial Park Block A of the Hambantota International Port and storing any environmentally harmful and hazardous substances including steel slag and clinker in contravention of the law, without any environmental approvals and environmental safety precautions being implemented;
- l) Issue an order in the nature of a **Writ of Prohibition** prohibiting the 1st to 4th Respondents from allowing the 5th and or 6th Respondents from carrying out unloading, storage and transport of environmentally hazardous and or dust-emitting raw materials for cement manufacturing, in or at or out of the Hambantota Port using trucks, in violation of the law and the directives including **P12, P13, P16, P17** and any other directives issued from time to time by the 1st Respondent and or 3rd Respondent;
- m) Issue an order in the nature of a **Writ of Prohibition** prohibiting the 1st to 4th Respondents from allowing the 5th and or 6th Respondents from stockpiling clinker and other hazardous dust-emitting material in the Hambantota International Port in contravention of the law and without any environmental approvals and environmental safety precautions being implemented;
- n) Issue an order in the nature of a **Writ of Prohibition** prohibiting the 1st to 4th Respondents from allowing the 5th and or 6th Respondents from operating the warehouse at Lot No A17 of the Port Industrial Park Block A of the Hambantota International Port and storing any environmentally harmful and hazardous substances including steel slag and clinker in contravention of the law, without any environmental approvals and environmental safety precautions being implemented;

INTERIM ORDERS

- o) Grant an interim order directing the 1st, 2nd and/or 3rd, 4th Respondents to immediately prevent the 5th and/or 6th Respondents from engaging in the unloading storing and transportation of hazardous or dust-emitting cargo for cement manufacturing, in or at or out of the Hambantota International Port other than in accordance with the law, pending the final determination of this application;
- p) Grant an interim order directing the 1st, 2nd and/or 3rd, 4th Respondents to stop the 5th Respondent and/or the 6th Respondent from in any way or manner permitting and/or authorising the unloading and transportation of hazardous or dust-emitting cargo for cement manufacturing in or at or out of the Hambantota Port using trucks within its premises pending the final determination of this application;
- q) Grant and interim order directing the 1st, 2nd and/or 3rd, 4th Respondent to prevent the 5th and/or 6th Respondent from stockpiling clinker and other hazardous dust-emitting material in the Hambantota International Port in contravention of the law and without any environmental approvals and environmental safety precautions being implemented, pending the final determination of this application;
- r) Grant an interim order directing the 1st, 2nd and/or 3rd, 4th Respondents to seal and/or suspend the operation of the warehouse at Lot No A17 of the Port Industrial Park Block A of the Hambantota International Port used by and or operated by the 5th Respondent and/or 6th Respondent to store imported steel slag in contravention of the law, without any environmental approvals form the 1st and 3rd Respondent and environmental safety precautions being implemented;
- s) Grant costs; and

- t) Grant such other and further relief as to Your Lordship's Court shall seem fit and meet.

This matter was supported on 29.10.2024 and interim relief was issued as prayed for in paragraphs “o, p, q and r” in the Petition.

The background of the case *albeit* as follows;

The Petitioner, being a registered company under Section 17 of the Board of Investment Law (Hereinafter referred to as “BOI”) and driven by the investment proposal of the Master Plan of Hambantota International Port, has invested more than USD 151 Million to establish a cement griding, blending and packing plant at Mirijjawila Export Processing Zone of the BOI adjacent to the Port of Hambantota (Hereinafter referred to as “the Manufacturing Plant”).

The Petitioner states that it has been issued an Environment Protection Licence (Hereinafter referred to as “EPL”) in terms of the National Environment Act (Hereinafter referred to as “NEA”) by the 3rd Respondent with the concurrence of the 1st Respondent to operate its cement manufacturing plant at the Export Processing Zone, Mirijjawila, Hambantota and transport relevant raw materials from the Hambantota International Port to its manufacturing plant through a conveyer belt. The Petitioner has the EPL valid till 11th September 2025.

The Petitioner filing this Writ Application contends that the 1st and 3rd Respondents had failed and neglected to enforce the law against the 5th Respondent for failure to fulfill their statutory duty to protect the environment. It is further alleged that the 5th Respondent had wrongfully and unlawfully allowed the 6th Respondent and its agents to emit or discharge dangerous and hazardous pollutants to the atmosphere within the premises of the Hambantota International Port by unloading, storing and transporting clinker and other similar dust-emanating raw materials in contravention of the terms and conditions of its EPL and the directives issued. It is further alleged that above mentioned activities have been

continued by the 6th Respondent after the suspension of their EPL on 15.07.2024.

Learned President's Counsel for the 6th Respondent moving this Court not to extend the interim order submits to this Court that the Petitioner filing this application not out of genuine legal necessity, but rather to serve its collateral interest and gain an undue advantage in the cement industry, where the 6th Respondent and the Petitioners are direct competitors.

Although the Petitioner submitted that the EPL was suspended on 15.07.2024, the learned President's Counsel for the 6th Respondent brought to the notice of this court that 1st Respondent by letter dated 19.09.2024, informed the 5th Respondent that until a new EPL is issued, the 5th Respondent could continue its operations on the terms and conditions contained in the previous license. Therefore, 6th Respondent is not required to obtain a separate EPL for their raw material unloading operations within the premises of the Hambantota International Port. Further, the 6th Respondent is not transporting its raw materials through the Industrial Park, Mirijjiwila and is instead transporting them to its plant in Galle through the port access road. The raw material is transported in trucks covered by a tarpaulin to minimize dust emission. Additionally, dedusting hoppers are used for unloading raw material (Clinker) and clinker yards are covered by a tarpaulin and the road to the Clinker yard is routinely sprayed with water to suppress dust generation from transporting clinker through unpaved road. Due to these precautions, no any action was filed by anybody or a group against the 6th Respondent for environment pollution. Hence, the learned President's Counsel contended that the only reason filling this Writ Application is the business rivalry.

The learned President's Counsel for the 5th Respondent submitted that this Writ Application is a result of a dispute between the Petitioner and the 6th Respondent and the Petitioner had made several complaints

against the operations of the 6th Respondent, which led to the suspension of the EPL issued to them. At the meeting held on 30.07.2024 the 3rd Respondent had lifted the suspension for three months subject to monitor the port activities, storage yards at port premises and material unloading operations by the 6th Respondent as well as the Petitioner. Until such time the 5th Respondent did not allow the 6th Respondent to carry out any activities within the Port of Hambantota. On 22.10.2024, unloading of the raw material was re-commenced and was inspected by the officials of the 1st and 3rd Respondents.

It is the contention of the learned President's Counsel for the 5th Respondent that dust emission is an inevitable byproduct of any raw material unloading process. The 5th Respondent too agree with the test report submitted by 6th Respondent which is marked as "5R-12".

The learned Senior State Counsel who appeared for the 3rd, 4th and 7th Respondents submits that as per the Court order the 3rd Respondent (BOI) had conducted a site inspection at the industrial premises of 5th Respondent on 13.11.2024 with the attendance of the representatives of the 1st Respondent (CEA) and the joint inspection report marked 3R1 submitted to this Court.

Further, the 1st and 3rd Respondents had carried out joint inspections for compliance monitoring purposes at the premises of the 5th Respondent and at those of the Petitioners in their capacity as the Regulator and the Facilitator, respectively. Thereafter, the suspension of EPL of 5th Respondent was temporary lifted and the 5th Respondent was allowed to carry out their operations subject to the recommendations given by the 3rd Respondent (BOI). The lifting was subjected to joint inspection of the activities of 6th Respondent. This was informed to the 5th Respondent by the 3rd Respondent (CEA) by letter dated 18.10.2024.

Although another site inspection was carried out on 23.10.2024 by the 1st and 3rd Respondents at the premises of the 5th Respondent, loading

and unloading operations were observed to be suspended due to bad weather condition.

The limited objections filed by 1st and 2nd Respondents also corroborate the factors submitted by the 3rd, 4th, and 7th Respondents through the learned Senior State Counsel.

At present stock filing operations are subject to compliance monitoring and necessary recommendations by the 1st and 2nd Respondents. Further lifting of suspension of EPL of 5th Respondent is subjected to further joint site inspection to monitor of the operations of the 6th Respondent.

In **Billimoria v Minister of Landas, Land Development and Mahaweli Development and two Others** [1978-79] 1 SLR 19 Samarakoon C.J. held that:

“In considering the question we must bear in mind that a stay order is an incidental order made in the exercise of inherent or implied powers of Court. Without such power the Court’s final orders in most cases would if the Petitioner is successful be rendered nugatory, and the aggrieved party will be left holding an empty decree worthless for all purpose”.

In **Weerasooriya v Sidambaram Chetty** 8 CWR 238 Bertram C.J, held that:

“ the interest of justice therefore required that a stay order be made as an interim measure. It would not be correct to judge stay orders in the same strict manner as final orders. Interim orders by their very nature must depend a great deal on a judge’s opinion as to the necessity for interim action”.

In this case the Petitioner and the 6th Respondent are engage in cement production in the country. The Petitioner’s cement manufacturing plant is situated in Mirijjiwila, Hambantota. The 6th Respondent’s cement manufacturing plant is located in Galle. The raw materials are transported to its plant by way of trucks covered by a tarpaulin. It is

pertinent to note that up to now no single application is filed against the 6th Respondent by a third party.

In this case the learned President's Counsel for the 6th Respondent submitted to this Court that due to this interim order the 6th Respondent could not unload 450.88 MT of clinker which remains onboard the ship and is valued at approximately Rs.7.3 million. As such his client has suffered a loss of Rs. 900 million to date. This was endorsed by the learned President's Counsel who appeared for the 5th Respondent as well.

After careful consideration of the submissions made by all parties, I conclude that the 6th Respondent will suffer more harm than the Petitioner if the interim order is extended.

Therefore, the interim order issued on 29.10.2024 against the Respondents is hereby vacated.

JUDGE OF COURT OF APPEAL

M.T. Mohammed Laffar, J.

I Agree

JUDGE OF COURT OF APPEAL